

SECTION IV: Results

Figure 6: Regressions

Regressions on the determinants of change in the dependent variable, expected return annualized for investors. *Development* is a dummy variable which takes the value of one if the investment profile of the real estate asset is either value-add or opportunistic. *Size* indicates the size of the commercial real estate property in terms of “as-is” appraised value or renovated/repaired value. *Multifamily* is a dummy variable that takes the value of one if the property-type is an apartment complex with 5+ units. *Term* indicates the targeted investment hold period in years. *Minimum Investment* is the minimum dollar amount requirement for each deal available to investors. *Leverage* is the ratio of debt financing to estimated value (size) of the property. *Crowdfunded Ratio* is the ratio of crowdfunding utilized to finance the total transaction divided by the estimated value (size) of the property.⁸

	Dependent Variable: Expected Return			
	(1)	(2)	(3)	(4)
Property Characteristics				
<i>Development</i>	0.039*** (3.78)	0.041*** (3.26)	0.040*** (2.97)	0.038** (2.61)
<i>Size</i>	.004 (.37)	.009 (.67)	.014 (.89)	.012 (.72)
<i>Multifamily</i>	.011 (1.18)	.012 (1.23)	-.0001 (-0.09)	-.001 (-.11)
Campaign Characteristics				
<i>Term</i>	-	-.006** (-2.58)	-	-.006** (-2.36)
<i>Minimum Investment</i>	-	.004 (.819)	-	.041* (1.78)
Financing Characteristics				
<i>Leverage</i>	-	-	.111 (1.39)	.095 (1.10)
<i>Crowdfunded Ratio</i>	-	-	-.043 (-1.42)	-.075** (-2.28)
Constant	0.122 (1.55)	.098 (1.07)	-.011 (-.09)	-.119 (-.92)
Observations	93	78	53	49
R-squared	0.168	0.269	0.219	0.337

coefficient, t-statistic in parentheses

*** p<0.01, ** p<0.05, * p<0.10

⁸ Each regression has a slightly different sample size because Stata, the statistical software employed to run this analysis, omits observations that are missing data on at least one of the independent variables.